

Chapter 13

Operating Health of Cryptoasset Networks and Technical Analysis

A cryptoasset that is already operating provides a wealth of information, which can be used to build upon the foundational information we discussed in the last chapter. Such information leads us deep into the operational fundamentals: those aspects of a cryptoasset that reveal how it is working day-to-day and year-to-year in the real world.

Recall how we first described blockchain architecture as a stack of hardware, software, applications, and users. Specific metrics can be investigated from each of these four layers that will reveal the ongoing growth of an operating cryptoasset, or lack thereof. For a healthy and thriving asset, the one universal law is that these metrics should be growing. If a cryptoasset is in its early days and it's not growing, then its future is likely not going to be bright.